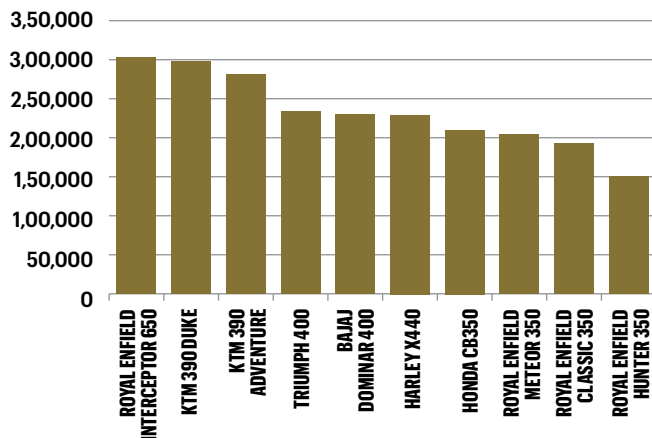


BATTLE LINES

With every motorcycle maker launching a premium bike, price is becoming the key differentiator



STARTING PRICES OF 350-400CC SUB-SEGMENT OF BASE VARIANT MOTORCYCLES (EX-SHOWROOM DELHI) IN ₹. **SOURCE:** BT RESEARCH



DOUBLE IMPACT Nick Bloor, CEO, Triumph Motorcycles (left) with Rajiv Bajaj, MD, Bajaj Auto

70 | and cover the top 80 per cent of the important markets (from a premium-bikes point of view) in the next few years. According to him, there has been a gradual shift among customers towards the premium segment, driven by factors like increasing disposable incomes, change in consumer lifestyles, their purchasing paradigm, and a growing demand for high quality, technologically advanced and comfortable motorcycles. Recognising this, HMSI has tweaked its strategy.

Bajaj's Narang, too, points towards this trend. "With an expanded distribution network and a diverse range of premium models, our goal is to cater to the unique requirements of our consumers in this segment," he says. "Even in the premium sports segment—where our models like Adventure 390 or Duke 390 operate, typically priced above ₹3 lakh—there's some kind of a micro-segmentation happening... Volumes start becoming smaller, but there is room for multiple models and variants... where the customers do not want to compromise."

Some customers want a high-performance adventure bike, some are more value-driven, while some want top-end tech products. Narang explains that customers are becoming more discerning about features, and willing to pay more for superior products. "We have four variants in the Adventure 390 segment, and the reason for launching these models was not just to grow volumes, but the fact that customers had very specific requirements."

Experts say that the ongoing premium play might not be enough to throw Royal Enfield off its perch in the

medium term, but it would play a huge role in the future strategy of its rivals. "These players sense that in the next 10 years, people who are riding a lower-segment bike today, may upgrade to a higher-cc bike, and they will prefer global brands like Harley, BMW, Triumph or KTM," says Welekar of Axis. "They will get multiple options apart from Royal Enfield and that's what they're preparing for. This is their future strategy for now."

NOT JUST A NUMBERS GAME

Bajaj's words at the launch event attest to it. Giving an insight into how the players view the market, Bajaj candidly referred to Royal Enfield as a bank. "There was a famous bank robber in America called William Francis Sutton. When asked why do you rob banks, he said, 'That's where the money is'. So, if Royal Enfield is where the money is, then we have no choice but to rob that bank."

But it's not just a numbers game, says Jochen Zeitz, Chairman, President and CEO of Harley-Davidson. "The obsession with unit sales is not something I share. It is the premium segment where we generate the most profitability. If you look at the last three years' profitability, it has significantly gone up for the company by focussing on touring, cruiser, and launching into adventure touring... It is the profitability and desirability of the brand that counts, rather than chasing volumes."

Harley-Davidson is clear it wants to focus on profitability, as are the others. "Currently, our primary focus is on establishing BigWing (Honda's premium motorcycle